Session 8. Corporate strategy: Scope and Diversification Newell

Competitive Strategy

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Corporate Strategy

- Corporate Strategy: the way a company creates value through the configuration and coordination of its multimarket activities.
  - Emphasis on value creation
  - Focus on multimarket scope (configuration)
    - Product, geographic, and vertical boundaries
  - How the firm manages its activities and businesses (coordination)

DIVERSIFICATION AND VALUE CREATION

- Does diversification generally create value?
  - In general: NO
    - 20% diversification discount
  - Compares the actual stock market capitalization of a multibusiness corporation to the sum of the imputed value of its business segments
    - Selection bias – the firms that did focus might have some reason to not spread themselves out –
      - True question: how much would the BU of the diversified firm command on their own?
  - Obviously, that is an average
    - For some firms, the whole is worth more than the sum of the parts

Rationales Given for (or against) Horizontal Integration

- Synergies: Economics of scale and scope (+)

- Reducing competition, Increasing bargaining power (+)
  - ~ competitive strategy
  - Subject to anti-trust scrutiny!

- Incentives and Influence costs (-)
- Risk??
  - But stockholders can cheaply hold the portfolio!

WHEN DOES DIVERSIFICATION CREATE VALUE?

1. Synergies Test

Does ownership of the business create value in the corporation?

2. Organizational cost Test

Are benefits greater than the cost of corporate overhead?

3.Appropriability Test

Can we appropriate the value? Do we create more value than any other possible corporate parent?

I. Synergies

Synergies

- A single firm should perform two activities, say A and B, only if the profits that result in a single firm exceed the sum of the profits that two separate firms would earn if they were to do one activity each.
  - Economic profits!
  - Should include the cost of combining activities (cost of acquiring another firm or cost of building the business)

Economics of scale and scope

- Cost of doing A and B jointly is lower than doing them separately

- Key source = sharing activities, resources or inputs
  - Share overhead costs with all businesses
  - Share distribution space (selling tennis and ski equipment)
  - Share management
  - → cost synergies

Economics of scale and scope (II)

- Cost synergies: Pay attention to organizational costs!
  - Realizing synergies typically requires centralization
    - Weakens incentives, loss of local knowledge
  - Eternal conflict between synergies and local motivation
    - If you impose synergetic actions, they become excuses for lower performance
    - If you don’t impose , you get only win-win synergies

ECONOMICS OF SCALE AND SCOPE (III)

- Revenue synergies
  - Share customer base (e.g. cross-selling)
  - Share brand name
- Revenue synergies often elusive, very hard to realize in practice…
  - …. as seen in HP-Compaq merger; AOL-Time Warner merger

Economics of scale and scope (IV)

- Knowledge synergies: ‘Sharing’ is often easier said than done. How do you share knowledge?
  - Marketing knowledge
  - Technical know-how

Identifying Economies of Scope: understanding firms capabilities

- Why do some firms have a cost or WTP advantage?
  - Firms differ in fundamental ways because each firm possesses unique capabilities
  - A firm's choice of strategy is constrained by its current capabilities and the speed at which it can acquire or accumulate new capabilities

CAPABILITIES OF FIRM:

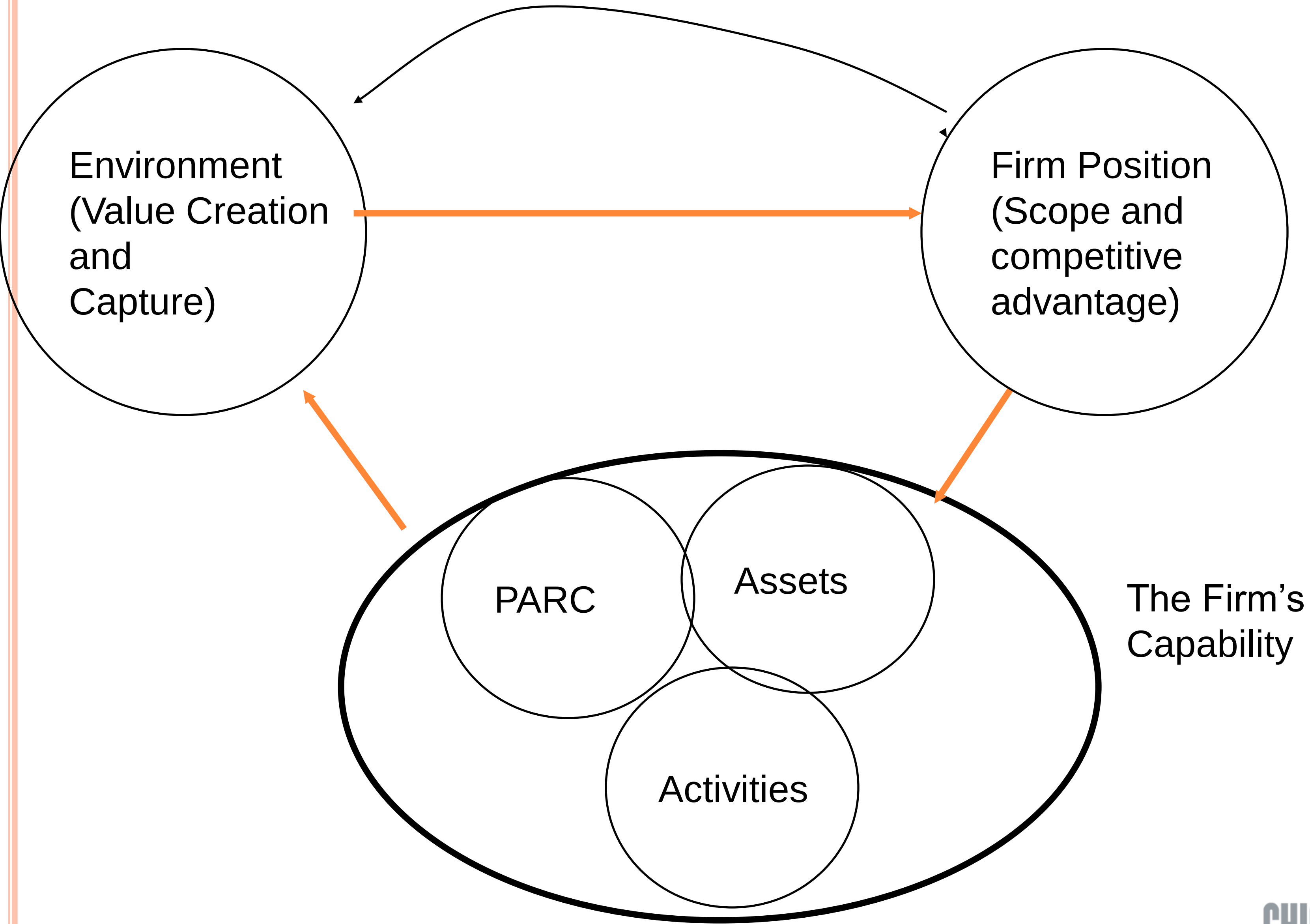
- Recall: like the 'firm's skill':
  - what are we good at? What do we know?

  –Just as human beings differ in what they can do (due to initial endowments and their histories), so do organizations.

  –Must be more than the sum of individual skill

- Combination of :
  - Assets, tangible and intangible
  - Activities
  - Organization and process: PARC

A GENERAL FRAMEWORK



1. A. Tangible Assets

The easiest to value and often the only resources appearing on a firm’s balance sheet

- Real estate, production facilities, raw materials, etc.
- May be essential to a firm’s strategy
- Occasionally a source of competitive advantage due to their standard nature

1.B. INTANGIBLE ASSETS

- Company reputations, brand names, technological knowledge, patents and trademarks, accumulated learning and experience, etc.
- Not consumed in usage
- Some can grow with use and provide a valuable base for diversified expansion

2. Activities

- What we do: the way we configure our manufacturing, our human resource practices, etc. An ‘engineering’ issue (distinguish from organization/employees choices)
  - Examples seen, recall: activities of CCS; activities of Southwest; activities of Ikea

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3. PARC

- Organizational/Soft design issues (introduced briefly in Class 2)
  - *People (really should be in assets…)*
  - *Architecture* (formal and informal organization, incentive systems)
  - *Routines* (regularized ways of performing activities and coordinating),
  - *Culture* (shared understandings and beliefs)

Finding Synergies: Matching Capabilities and Businesses.

An effective diversification strategy requires a fit between capabilities (assets, org, activities) and businesses

Finding synergies amounts to finding ways to 'spread' or leverage in the new business segment:

- capability
- an individual asset
- the organization/PARC
- the activitiy configuration.

Matching Capabilities and Businesses

- Two systematic miscalculations when diversifying
  - Overestimating the transferability of specific resources or capabilities
  - Overestimating the value of very general resources or capabilities in creating competitive advantage in a new market.
    - Example: Bic Corporation
    - Capabilities: plastic injection molding expertise and mass marketing expertise; plus strong brand

Disposable Pens (1958) → Disposable Lighters (1973) → Disposable Razors (1974) → Pantyhoses (1974)

RESOURCES SHOULD BE RELATED, NOT PRODUCTS

Example: Thermostat

- Strong position in industrial thermostat:
  - Strong R&D capabilities;
  - Expertise in strict tolerance, made-to-order production;
  - technically sophisticated sales force of industrial engineers.

- Low growth situation –decides to enter into household thermostats

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- Low growth situation –decides to enter into household thermostats
  - No expertise in design product appearance or packaging
  - No mass production capabilities
  - No ability to distribute products through industry reps.

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II. Capturing synergies: organizing a multi-business corporation

Test 2: Organizational Costs: Incentives and Influence Costs

A division nearly always has weaker incentives than a stand-alone business

Market avoids internal lobbying among divisions

- Misdirected efforts within divisions as division managers seek to attain greater resources
- A less attractive business may absorb profits from a more attractive business
  - and focus on these politics rather than on competing

Obtaining synergies: Running a multibusiness corporation for synergies

Maintain adaptation

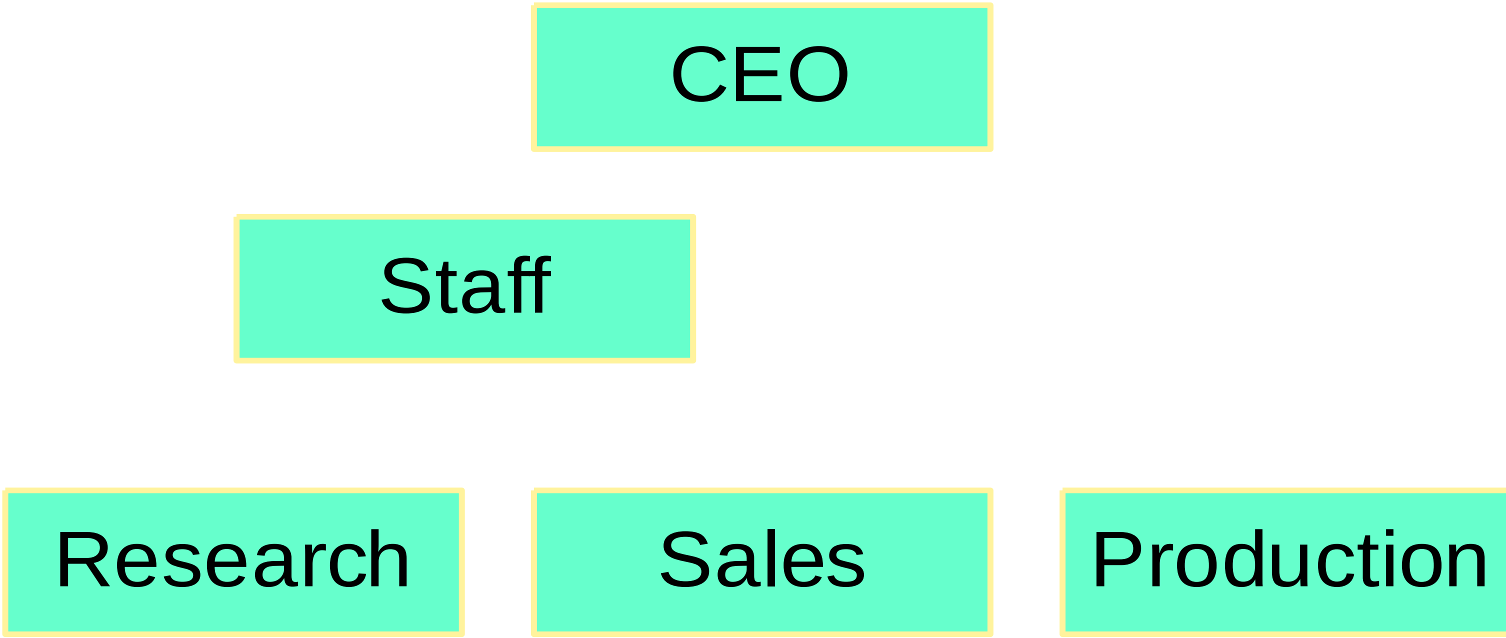
- Requires Business Unit focus

Attain synergies

- Requires functional focus

TRADITIONAL VIEW: TWO WAYS TO GROUP UNITS

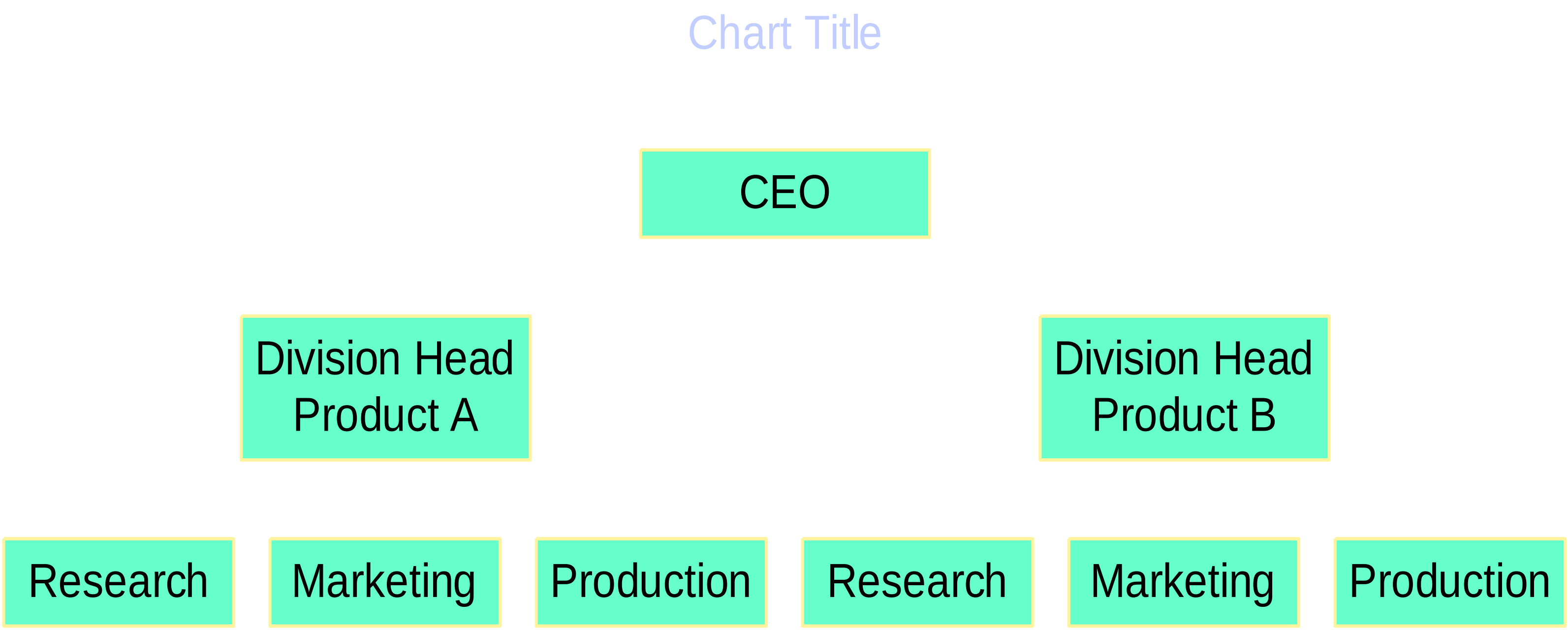
THE FUNCTIONAL ORGANIZATION



Functional form

- Strengths
  - <u>Centralized expertise</u>:
    - good flow of information and knowledge within function
    - Clear career paths building on individual expertise
    - Clearly defined responsibilities and tasks
- Weaknesses
  - Cross functional decisions only possible at the highest levels
  - Possibly weakened incentives: profit & loss remote

Product focus– Divisional organization



Divisional Form

- Strengths
  - Good information flow about product–
    - closer coordination among product related decisions
    - Integrative decisions pushed much further down in the organization
    - Managers much closer to profit and loss
- Weaknesses
  - Duplication of expertise
  - Failure to share key insights across the company

Doing both

Rarely only one principle used

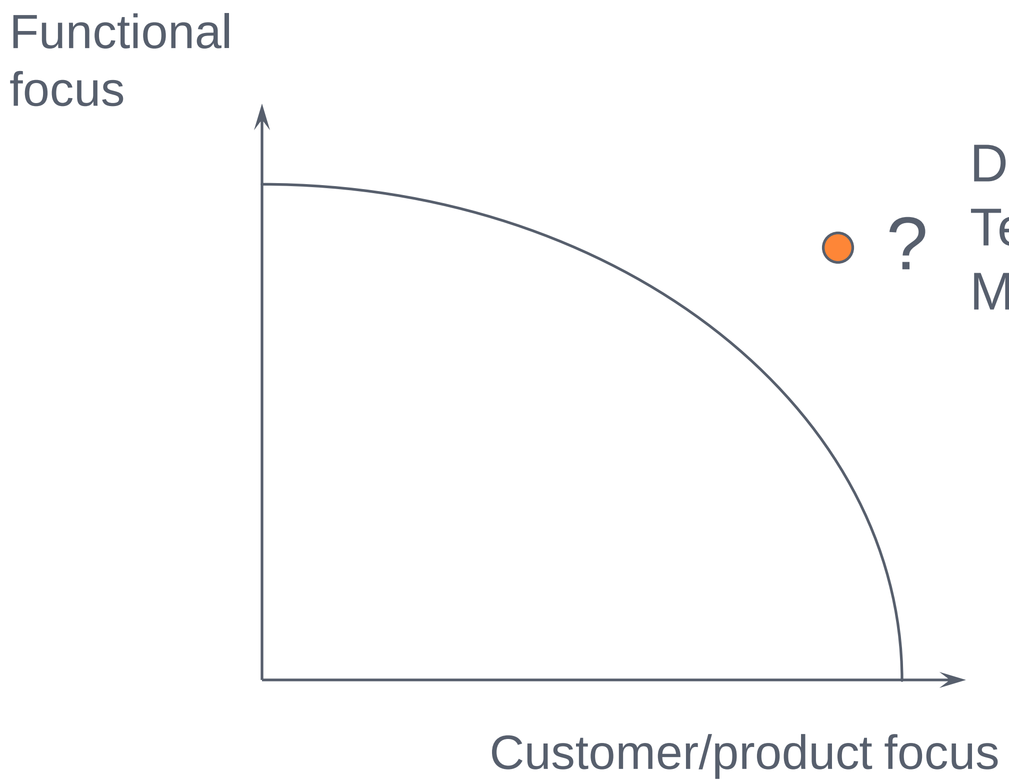
I. Divisional Hybrids: Functional principle at some level, business at another

II. Using specialized coordinators:

One principle has priority, with coordinating devices: Teams, centers of excellence, and other intermediate coordination devices

III. Matrix: Both at the same time

Trying to do both



- Divisional hybrid
- Teams/other coordinating dev
- Matrix

I. Divisional Hybrids

Multi-product firms (or multi-national firms) are generally divisional

but try to appropriate some synergies by **integrating functional activities** (such as R&D, Manufacturing, Marketing, distribution) across business units.

This integration often requires some form of **centralization**:
Making functional managers responsible for implementing standardization, thereby limiting business unit's managers authority.

Divisional Hybrids: two questions

Central questions:

1. Which functions (e.g. R&D, Manufacturing, Marketing, ….) to centralize, which functions to leave decentralized at the business unit level *(market facing units)*?

2. How much authority, should be allocated to these functional units *(operating core units*)?

Unit Structure in the Multi-Divisional Organization

Q1: Which functions should be centralized?

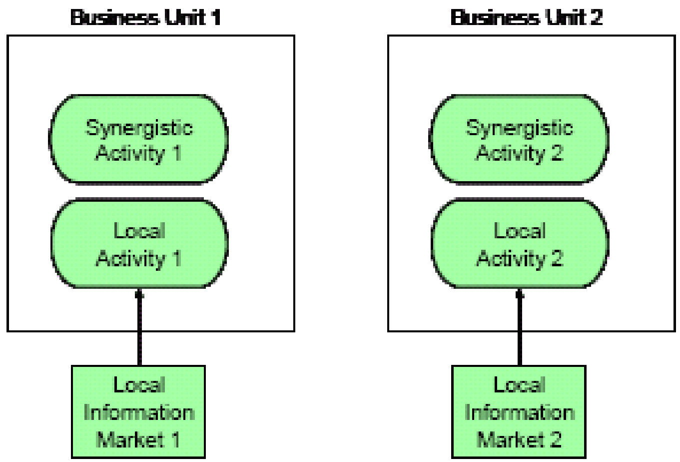
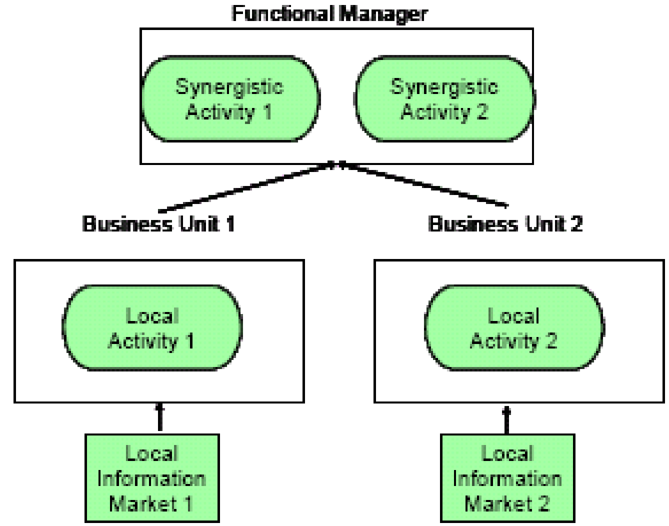


Figure 1: Non integrated structure



Integrated structure

Source: Dessein, Garicano, Gertner (2006)

Unit Structure in the Multi-Divisional Organization

Q2: How much authority should be allocated to functional units?

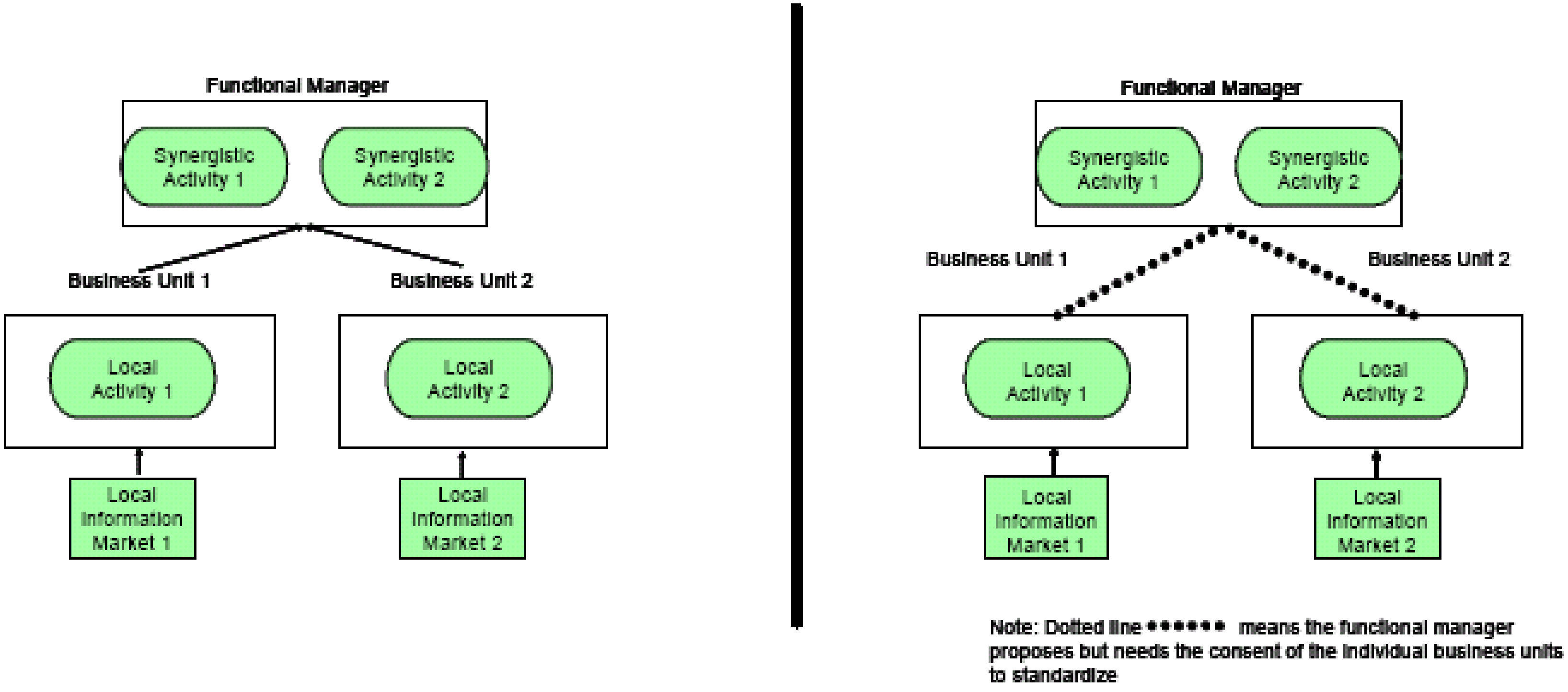


Figure 5: Integration– Functional Control Integration– Functional Initiative

Source: Dessein, Garicano, Gertner (2006)

Centralization and Unit Structure in the Multi-divisional Organization

Examples

- AOL– Time Warner
- Bank of America and United Trust
- Daimler Chrysler Commercial Vehicle division

CENTRAL TRADE-OFF

- Motivating managers requires narrowly-focused incentives around their area of responsibility, leading to distorted reward systems:
  - Functional managers become biased towards excessive standardization
  - Business unit managers may misrepresent information to limit standardization

- Coordination- Initiative Trade-off:

- High-powered incentives are most attractive when business units are independent (but this requires giving up synergies)

- Efficient realization of synergies typically requires centralizing authority in operating core (functional) units, and provide low powered incentives
(to avoid YGWYPF)

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Unit Structure in the Multi-divisional Organization: Building blocks

- Building blocks of unit structure
  - Market facing units
    (Business units defined by product, region, customer)
    - Clusters of the firm’s resources designed to respond directly to the preference and desires of the customer.
    - Play a critical role in absorbing information from markets and delivering goods and services. Critical interface.
  - Operating-core units (Functional units)
    - Centralized clusters of resources that provide shared products and services to market-facing units.
    - Responsible for standardizing work processes, applying best practices, ensuring efficiencies through economies of scale and scope (synergies)

Conflict of Interests Between Function and Products

- Building block and incentives: Motivating managers requires narrowly-focused incentives around their area of responsibility, leading to distorted reward systems

  - Market facing units: biased towards responsiveness, “adaptation”.
    - Reward systems of unit’s leaders biased towards maximizing customer responsiveness. Want control of marketing and sales, production, new product development
    - Giving too much control to market facing units creates duplication of functions. Cost efficiencies of economies of scale and scope are sacrificed.

  - Operating-core units: biased towards standardization, “synergies”
    - Reward systems of unit’s leaders biased towards centralizing and consolidating operations in order to drive economies of scale/scope and best practices.
    - Giving too much control/resources to operating core units weaken responsiveness to customers.

Building blocks: Trade-offs and Strategy

Building blocks and Strategy: Two questions

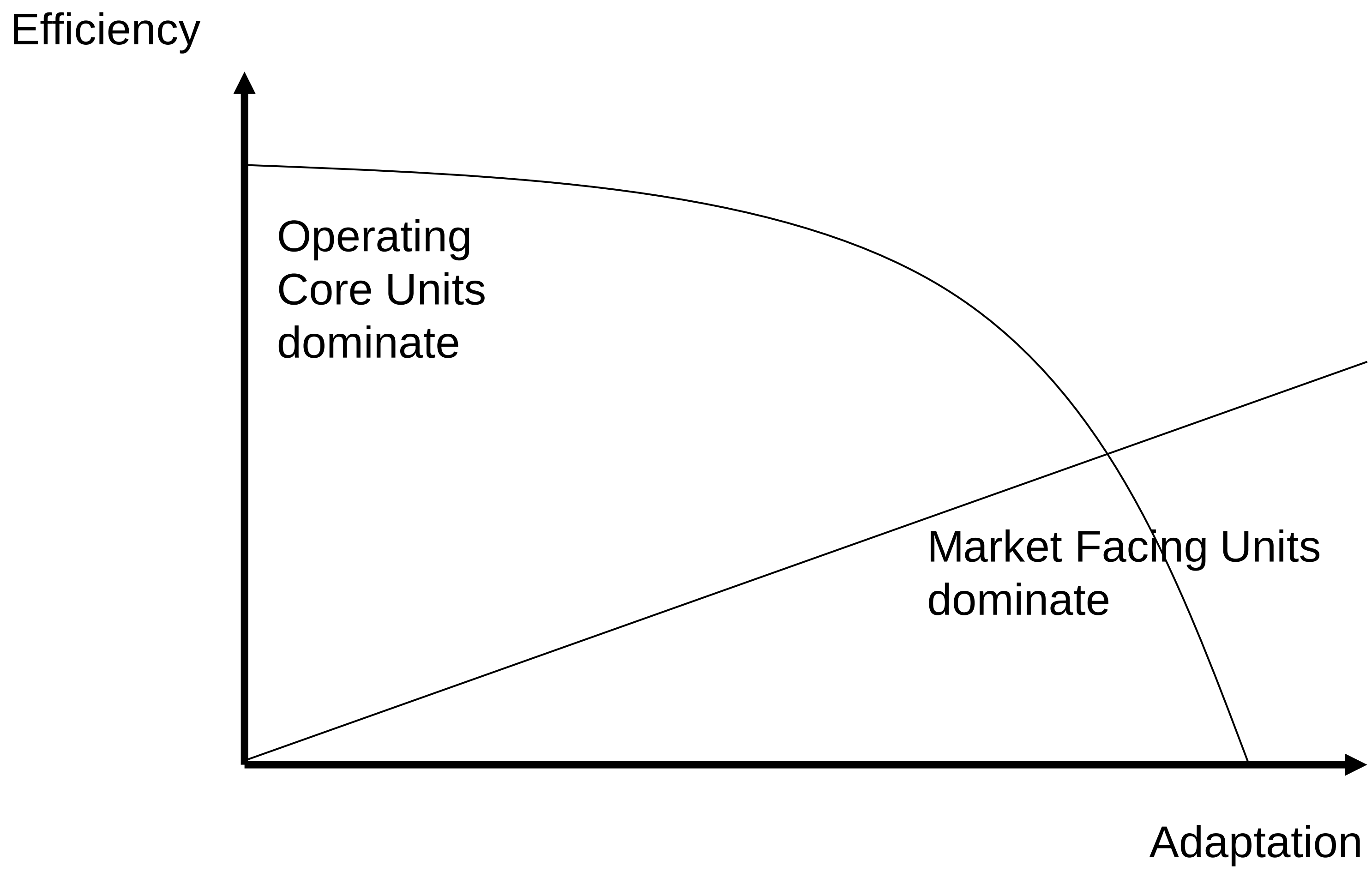
- What attributes do our customer value the most
- How can we deploy resources to deliver customer value in a way that maximizes economic returns.

Examples:

- Strategies that appeal to customer desire for local product formulations, high service levels, or customization tilt balance towards responsiveness.
  Operating core managers (functional mangers) are given a relatively narrow span of control

- Strategies that appeal to low price, consistent brand standards, or advanced technology, tilt balance in the opposite direction – towards specialization and cost efficiencies.
  Market-facing managers (business unit managers) are given a relatively narrow span of control

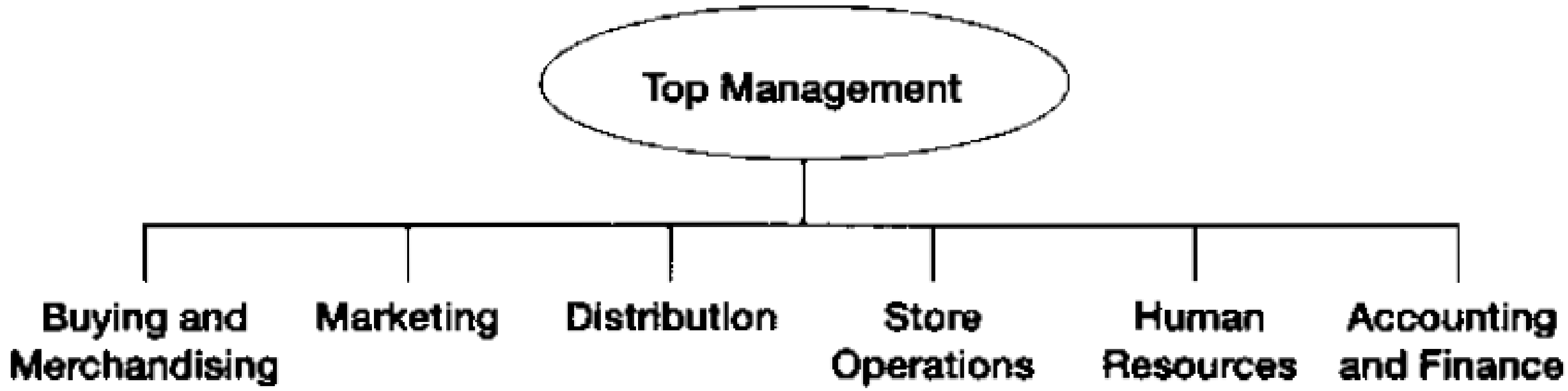
Building blocks: Trade-off between Responsiveness/adaptation vs synergies/efficiency



UNIT STRUCTURE: LOW COST

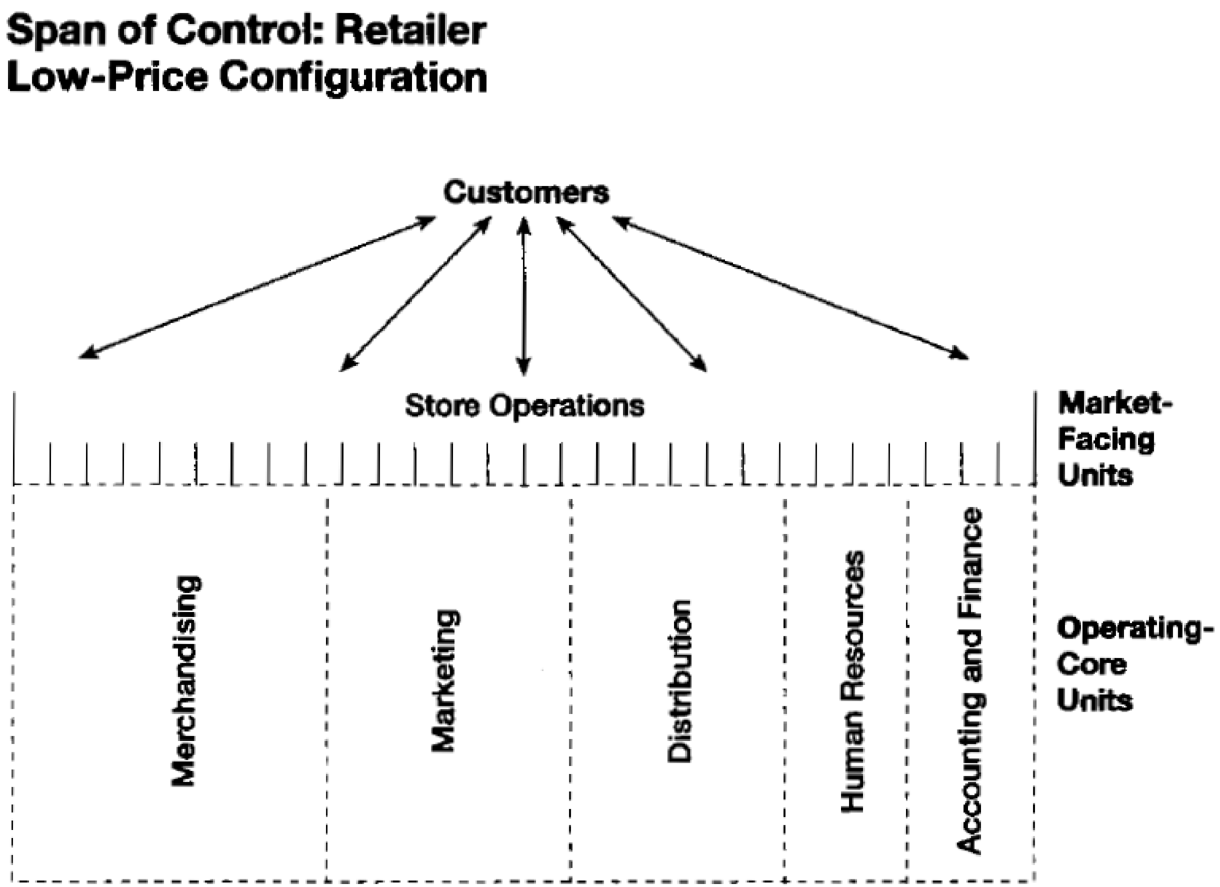
- Competitive advantages: consistency and low cost
  - Wal-Mart, TJX Stores, Dell Computer, Vanguard, Amazon.com, Staples, Home Depot, fast food restaurants

Organization Chart for a Low-Price Retailer



Source: Simons 2005

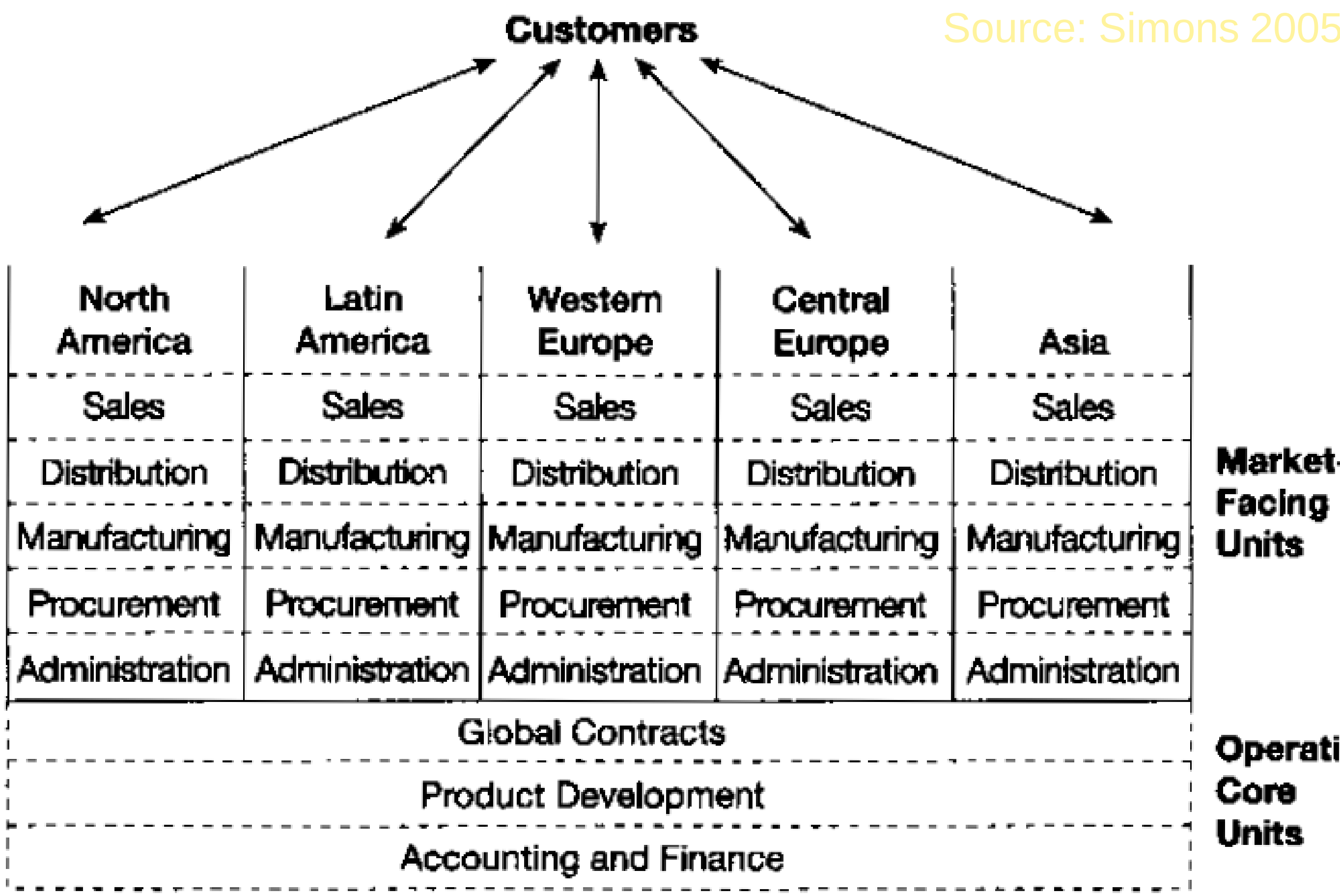
UNIT STRUCTURE: LOW COST (II)



Source: Simons 2005

UNIT STRUCTURE: HIGH WTP (1): ADAPTATION

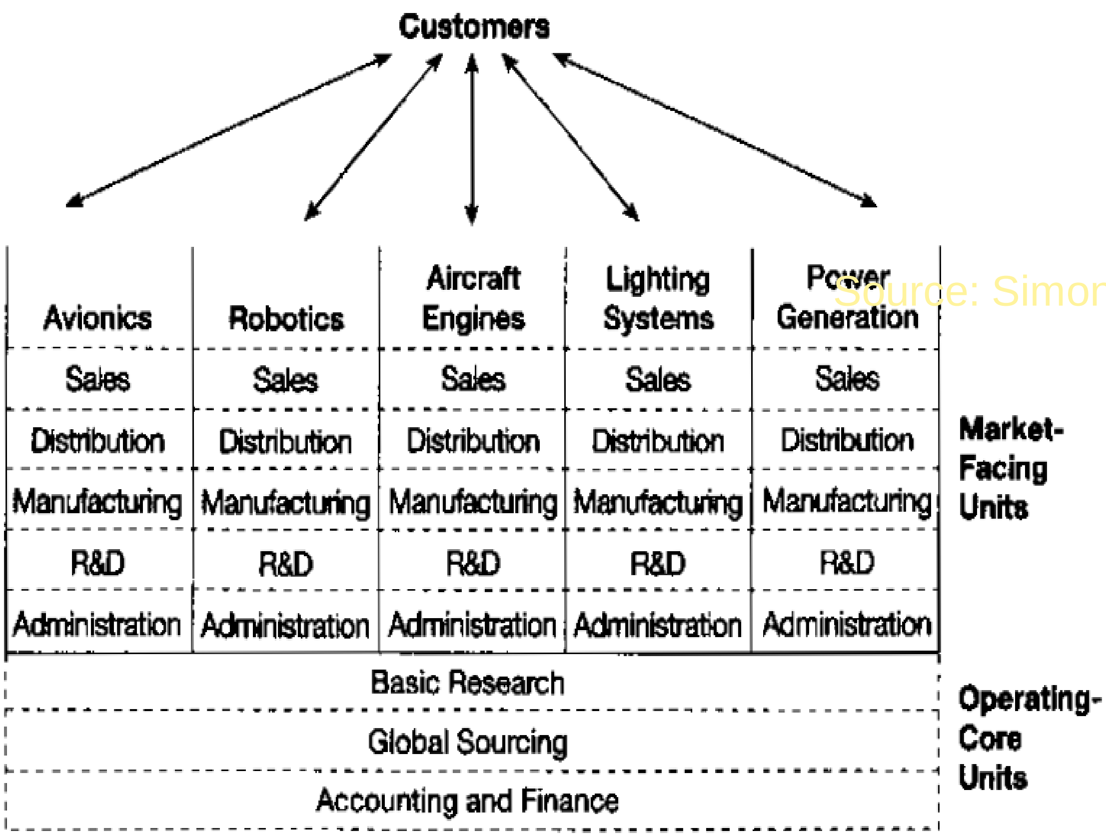
- Competitive advantage: local adaptation
  - **International food manufacturers** (Nestle, Procter&Gamble), global accounting firms (PWC), Automakers



Source: Simons 2005

Unit Structure: High WTP (2): Innovation

- Competitive Advantage: (1) advanced, unique technology (2) strong brand
  - Intel, Boeing, American Express, Estee lauder, General Electric



Source: Simons 2005

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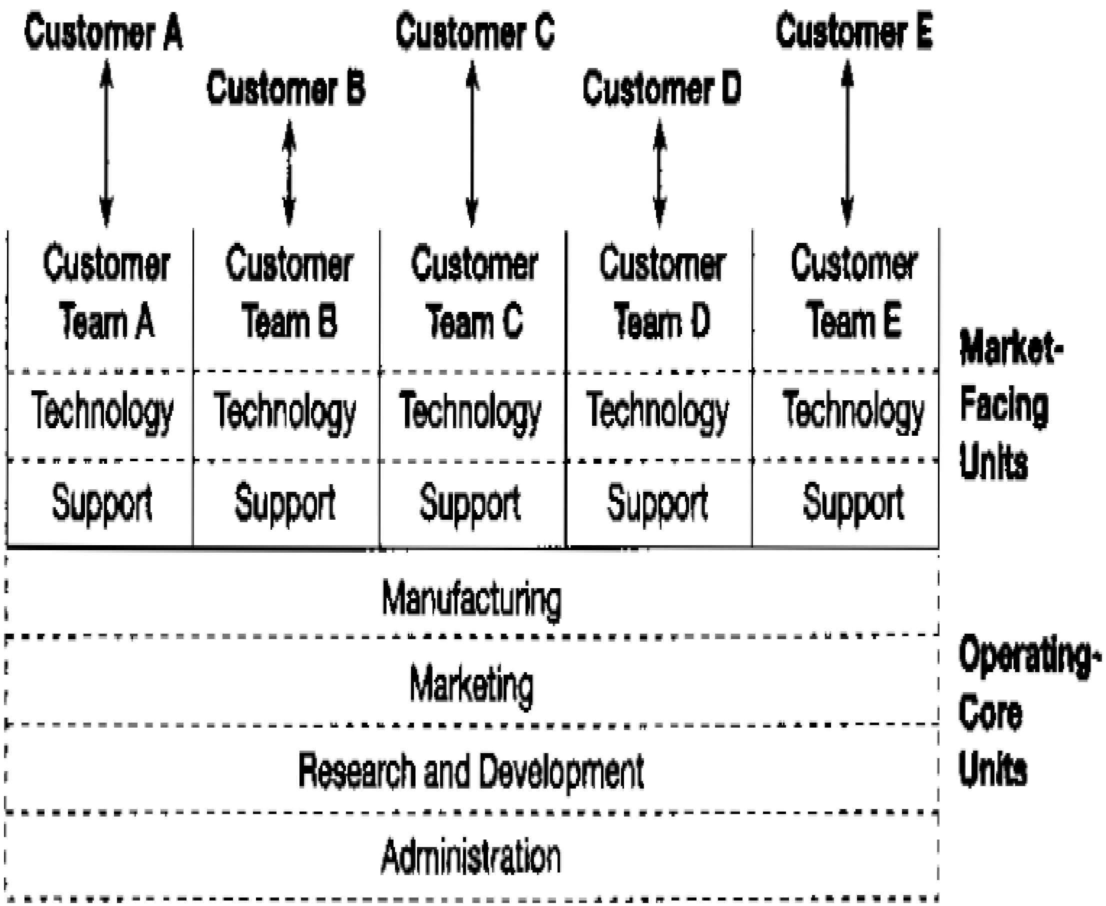
Unit Structure: High WTP (3): Relationship

- Competitive advantage Compete by offering important customers a long-term service relationship.
  - Products and services are part of a continuing relationship aimed at generating solutions that have enduring value to the customer.
  - Strategy consulting firms (McKinsey, BCG), investment bankers (Goldman), information technology companies (SAP, IBM)



Source: Simons 2005

In general, need rest of the organization to support the structure

- Pick your strength strategically:
  - Organize along the dimension that is competitively most important

- Manage the weaknesses of the structure that results
  - Use teams if appropriate (but sparingly!)
  - “Rebalance” organization over time
  - Continually invest in centers of excellence

- And ensure that other aspects of the organization support the structure

USING INCENTIVES AND MONITORING TO SUPPORT STRUCTURE

- Make people accountable for what they do not control: ‘stretch targets’
  - e.g. Siebel

- Use accounting and transfer pricing to make people worry about what others do:
  - allocate indirect costs to units not directly responsible
  - set transfer prices so that a unit will worry about what it is paying to other units

SUBECONOMY

It is not just the unit structure!
(complementarities redux)

To make organization work need to consider
people hired
decision rights
incentives
measurement mechanisms
information flows
culture
dispute resolution mechanisms
other informal mechanisms

MULTI-BUSINESS ORGANIZATION

- Benefits : Economics of scale and scope
  - Be skeptical of revenue synergies!
  - Organizational costs of realizing synergies
    - Often requires centralization → weakened incentives and loss of local knowledge
- Costs: Organization and Incentives
  - A division nearly always has weaker incentives than a stand-alone business
  - A less attractive business may absorb profits from a more attractive business (and focus on these rather than on competing!)

Scope: conclusions

1. It is the synergies!

2. Sources of synergies: Understanding Capabilities

3. Matching business with capabilities

4. Use formal and informal elements, incentives, etc. to support the structure, address weaknesses